

Write your name here Surname names 	Other	Pearson Edexcel Level 3 GCE
Centre Number 	Candidate Number 	

Economics A

Advanced

Paper 1: Markets and Business Behaviour

Predicted Paper — Moderate (for revision purposes only)

Predicted Paper — For revision purposes only Time: 2 hours You do not need any other materials.	Paper Reference 9EC0/01 Total Marks 100
---	---

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- There are three sections in this question paper. Answer ALL questions from Section A and Section B. Answer ONE question from Section C.
- Answer the questions in the spaces provided — there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☐. If you change your mind about an answer, put a line through the box ☐ and then mark your new answer with a cross ☐.

You are advised to spend 30 minutes on this section.

Use the data to support your answers where relevant. You may annotate and include diagrams in your answers.

1 The table below shows daily demand and supply data for a medium flat white sold by a popular UK high-street coffee chain. The original equilibrium price is £3.00.

Price (£)	Qd per day	Qs per day	New Qd	New Qs
4.00	10	30	—	—
3.50	15	25	—	—
3.00	20	20	—	—
2.50	25	15	—	—
2.00	30	10	—	—

(a) Following a fall in the wholesale price of coffee beans, the quantity supplied rises by 5 units at every price. Calculate the new equilibrium price and quantity. Use the last two columns for your working. **(4)**

(b) Based on the original data at the £3.00 equilibrium, the price elasticity of demand for a cup of coffee at this chain is most likely to be: **(1)**

- ☐ **A** perfectly inelastic
- ☐ **B** relatively inelastic
- ☐ **C** relatively elastic
- ☐ **D** perfectly elastic

(Total for Question 1 = 5 marks)

2 In 2024 the average UK consumer spent £1,100 per year on takeaway food and drink, up from £900 per year in 2020. Over the same period average UK real disposable income rose by 10%.

(a) Calculate the income elasticity of demand (YED) for takeaway food and drink. You are advised to show your working. **(2)**

(b) Calculate the percentage change in average consumer spending on takeaway food and drink between 2020 and 2024. You are advised to show your working. **(2)**

(c) Based on your answer to part (a), takeaway food and drink is best described as: **(1)**

- ☐ **A** an inferior good
- ☐ **B** a luxury normal good
- ☐ **C** a necessity normal good
- ☐ **D** a Giffen good

(Total for Question 2 = 5 marks)

3 In 2025 the UK government introduced an indirect tax of £0.18 per litre on sugary soft drinks. The diagram below shows the short-run effect.

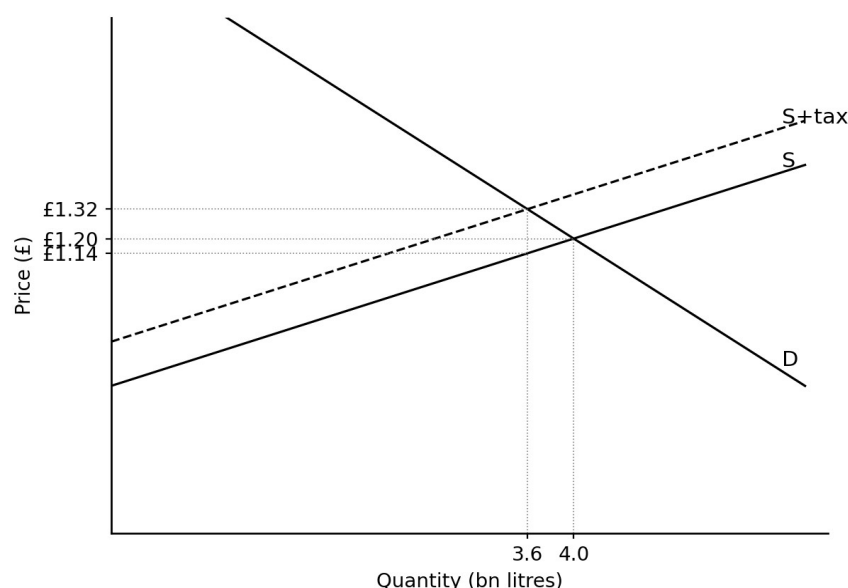


Figure for Question 3: Market for sugary soft drinks before and after the £0.18 per litre tax.

- (a)** Calculate the total annual tax revenue raised by the £0.18 per litre tax. You are advised to show your working. **(2)**
- (b (i))** Calculate the percentage of the total tax burden borne by consumers. You are advised to show your working. **(1)**
- (b (ii))** Calculate the percentage of the total tax burden borne by producers. You are advised to show your working. **(1)**
- (c)** One intended benefit of this tax is to: **(1)**
- ☐ **A** increase producer surplus
 - ☐ **B** internalise a negative externality
 - ☐ **C** raise consumer surplus
 - ☐ **D** address a positive externality

(Total for Question 3 = 5 marks)

4 Tesco, a large UK supermarket, cut the shelf price of its own-brand bread by 10% in early 2025 to maintain market share against discounters.

- (a)** Using a cost and revenue diagram, show the likely short-run impact of the price cut on Tesco's supernormal profit on own-brand bread. **(4)**
- (b)** Which of the following is most likely to be a barrier to entry into the UK supermarket sector? **(1)**
- ☐ **A** copyright protection
 - ☐ **B** large capital start-up costs
 - ☐ **C** patent protection
 - ☐ **D** statutory minimum wage legislation

(Total for Question 4 = 5 marks)

5 In 2024 the UK government announced a £100 million fund to support UK-produced television and film content, paid as a production subsidy to qualifying streaming platforms and studios.

- (a)** Which one of the following is most likely to be a fixed cost for a streaming platform? **(1)**

- ☐ **A** Royalty payments per stream
- ☐ **B** Bandwidth costs per user
- ☐ **C** Annual studio rental
- ☐ **D** Variable marketing spend per subscriber

(b) Explain one difference between fixed costs and variable costs. **(2)**

(c) With reference to the £100 million content subsidy, calculate the per-hour subsidy received by a producer commissioned to deliver 250 hours of qualifying UK content, assuming the producer secures 2% of the total fund. You are advised to show your working. **(2)**

(Total for Question 5 = 5 marks)

TOTAL FOR SECTION A = 25 MARKS

SECTION B

Read Figures 1 and 2 and Extracts A, B and C before answering Question 6.

Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

6 The UK coffee-shop sector

Figure 1: UK branded coffee-shop market share (2024)

Chain	Number of UK outlets	Market share (%)
Costa Coffee	2,650	36.0
Starbucks	1,070	22.5
Caffè Nero	640	14.1
Pret A Manger	470	10.3
Greggs (coffee)	2,480	7.8
Independents & others	6,200	9.3

Source: adapted from <https://www.allegro-worldcoffeeportal.com/uk-coffee-shop-market>

Figure 2: Average price of a regular cappuccino, UK branded chains (£), 2020–2025

Year	2020	2021	2022	2023	2024	2025
Price (£)	2.70	2.78	2.95	3.25	3.45	3.55

Source: adapted from <https://www.statista.com/uk-coffee-price-index>

Extract A — Branded chains face margin squeeze

The UK branded coffee-shop market generated revenues of £5.1bn in 2024, up 6% on the previous year. Growth has been driven by footfall recovery in city centres and sustained demand for premium hot beverages. However, margins have come under pressure as the global price of Arabica beans rose by 42% between January 2022 and December 2024, while UK dairy costs rose by 19%. Staff costs have also risen rapidly, with the National Living Wage increasing by 9.8% in April 2024 and a further 6.7% in April 2025. Industry analysts note that most chains have passed costs through in the form of higher retail prices, with a regular cappuccino rising by roughly 31% since 2020.

Costa, Starbucks, Caffè Nero and Pret all offer extensive loyalty apps, premium ranges and plant-based alternatives. Product differentiation is strong, and most chains compete on brand, location and non-price features rather than headline price.

Source: adapted from <https://www.bbc.co.uk/news/business-uk-coffee-market-2025>

Extract B — Independents fight back

Independent coffee shops now number over 6,000 nationwide. Many have grown by emphasising speciality beans, single-origin sourcing, latte-art training and community events. A 2025 Mintel survey found that 38% of consumers aged 18–34 say they prefer an independent coffee shop to a chain, citing better quality (54%), a more distinctive atmosphere (47%) and more ethical sourcing (41%). Independents typically operate with lower fixed overheads than chains but cannot match their bulk-purchasing power or national marketing budgets.

Source: adapted from <https://www.mintel.com/uk-coffee-shop-report-2025>

Extract C — Proposed Caffè Nero / Pret A Manger merger

In March 2025 Caffè Nero and Pret A Manger announced a proposed merger, arguing that combined scale would enable investment in digital ordering, supply-chain decarbonisation and a common loyalty platform. The combined entity would hold approximately 24% of the branded coffee-shop market, making it the second-largest operator after Costa. The Competition and Markets Authority announced that it would conduct a phase-one review, focusing on the potential effects on prices and consumer choice in high-street locations where the two brands currently compete directly.

Source: adapted from <https://www.gov.uk/cma-cases/caffe-nero-pret-merger-inquiry>

- (a)** With reference to Figure 1 and Extract A, explain one likely feature of the market structure of the UK branded coffee-shop sector in 2024. **(5)**
- (b)** With reference to Figure 2 and Extract A, and using a cost and revenue diagram, discuss the possible reasons for the rise in UK coffee-shop prices between 2020 and 2025. **(12)**
- (c)** With reference to Extract B, examine one way in which independent coffee shops might compete successfully against the large national chains. **(8)**
- (d)** With reference to Extract C, assess the likely effect on consumers of the proposed merger between Caffè Nero and Pret A Manger. **(10)**
- (e)** Discuss the likely economic consequences of a government decision to cap the price of a standard cup of coffee at branded high-street chains. Refer to your own knowledge and the extracts. **(15)**

(Total for Question 6 = 50 marks)

TOTAL FOR SECTION B = 50 MARKS

SECTION C

Answer ONE question from this section.

You are advised to spend 30 minutes on this section.

EITHER

7 In 2025 the UK government announced a £5 per pack 'sin tax' on disposable vapes, intended to reduce consumption among young people.

Source: adapted from <https://www.gov.uk/government/consultations/vapes-and-tobacco-taxation>

Evaluate the likely microeconomic effects of this tax. Refer to relevant economic theory and real-world examples in your answer.

(25 marks)

OR

8 'Small firms can never compete effectively against large, established brands in consumer markets.'

To what extent do you agree with this statement? Refer to an industry of your choice in your answer.

(25 marks)

Indicate which question you are answering by marking a cross in the box below.

Chosen question number: Question 7 ☐ Question 8 ☐

(Total for Section C = 25 marks)

TOTAL FOR PAPER = 100 MARKS